

Multiple Choice (10 marks)

1. Potential GDP will fall ceteris paribus if
 - (a) tariffs protecting domestic jobs are eliminated.
 - (b) the literacy rate improves.
 - (c) the tax rate is lowered.
 - (d) the inflation rate decreases.
 - (e) there is an increase in technological advancements.
2. What main functions are performed in the economy by commercial banks ?
 - (a) Conducting monetary policy for the government
 - (b) Offering educational services on finance
 - (c) Investing in securities
 - (d) Issuing credit cards
 - (e) Setting interest rates for the entire economy
3. A use of easy money (expansionary) policy by the Fed could result in which of the following?
 - (a) an increase in net exports
 - (b) a decrease in net exports
 - (c) an increase in the real interest rate
 - (d) an increase in the nominal interest rate
4. Neoclassical economists explained interest rates by the concept of time preference. How?
 - (a) Interest is the penalty for early consumption
 - (b) Interest is the reward for immediate consumption
 - (c) Interest is a fee charged by banks independent of market forces
 - (d) Interest rates fluctuate based on the phases of the moon
 - (e) Interest is a tax on savings that discourages postponing consumption
5. When your cash balances are at present \$1,000 and inflation is expected to be 12% per year, what will be your real balances after 4 years in terms of current prices?
 - (a) \$599.69
 - (b) \$744.40
 - (c) \$681.47
 - (d) \$880

True / False (10 marks)

Answer True or False

6. True or False: Economies and diseconomies of scale are primarily defined in the short-run, focusing on immediate production adjustments.
7. True or False: A price floor is typically set below the equilibrium price to stabilize market prices and ensure affordability.
8. True or False: GDP is calculated monthly by the Bureau of Labor Statistics to monitor economic trends.
9. True or False: A standard unrestricted tri-variate VAR(4) model requires estimating 12 parameters when ignoring intercepts.
10. True or False: A cross-price elasticity of +2.0 indicates that goods X and Y are substitute goods, as an increase in the price of Y raises the demand for X.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Analyze the effects on price and quantity in the market for roses when supply decreases and demand increases, discussing the implications of these changes.
12. Discuss the application of the $MC = MR$ rule in the context of labor hiring decisions within a perfectly competitive market, emphasizing the relationship between MRC and MRP.

End of Paper